

Some guiding thoughts:

- 1) Not all the segments of the BMC have easily identifiable “people” associated with them.
- 2) Many are just questions and concepts.
- 3) We know that the BMC is composed of a series of questions, and that each question forms a hypothesis.
- 4) To better direct people into different sections of the BMC, we can say, “WHO” should I ask these questions to, and that that is the “person” that belongs in that section.
- 5) Or a better way to frame it for our participants is, “Can you answer this question for our start-up company?”
- 6) The overall idea is that you are getting out of the building, and talking to people about your BMC hypotheses, and therefore, these people in each of the sections are the “people in your neighborhood”.
- 7) Some people like the “Banker”, “Accountant”, “Marketing Director”, etc. have more than one person assigned to them.
- 8) As these duplicates form their identities, they will diverge slightly, and some will go into different sections.

BMC Segments and Description	People in your Neighborhood (99 right now)
1) Customer Segments The Customer Segments Building Block defines the different groups of people or organizations an enterprise aims to reach and serve Customers comprise the heart of any business model. Without (profitable) customers, no company can survive for long. In order to better satisfy customers, a company may group them into distinct segments with common needs, common behaviors, or other attributes. A business model may define one or several large or small Customer Segments. An organization must make a conscious decision about which segments to serve and which segments to ignore. Once this decision is made, a business model can be carefully designed around a strong understanding of specific customer needs For whom are we creating value? Who are our most important customers?	Dog Walker Shopper Jogger Convention Attendee Restaurant Goer Bar Goer 21 College Kid 8 Year Old Girl 12 Year Old Boy Theater Goer Coffee Bar Goer 70 year old Breakfast Goer Lunching Business Professional Bicyclist Street Performer
2) Value Propositions The Value Propositions Building Block describes the bundle of products and services that create value for a specific Customer Segment What value do we deliver to the customer? Which one of our customer’s problems are we helping to solve? Which customer needs are we satisfying? What bundles of products and services are we offering to each Customer Segment?	Your Core Business Partners (played by the staff) The Inventor The Seasoned Entrepreneur

3) Channels The Channels Building Block describes how a company communicates with and reaches its Customer Segments to deliver a Value Proposition Communication, distribution, and sales Channels comprise a company's interface with customers. Channels are customer touch points that play an important role in the customer experience. Channels serve several functions, including: • Raising awareness among customers about a company's products and services • Helping customers evaluate a company's Value Proposition • Allowing customers to purchase specific products and services • Delivering a Value Proposition to customers • Providing post-purchase customer support Through which Channels do our Customer Segments 27} want to be reached? How are we reaching them now? How are our Channels integrated? Which ones work best? Which ones are most cost-efficient? How are we integrating them with customer routines? Sales Force, Web Sales, Own Stores, Partner Stores, Wholesaler	Sales Representative Marketing Executive (3) Web Designer (3) News Anchor Mail Carrier Store Owner (5) Wholesaler (3)
4) Customer Relationships The Customer Relationships Building Block describes the types of relationships a company establishes with specific Customer Segments A company should clarify the type of relationship it wants to establish with each Customer Segment. Relationships can range from personal to automated. Customer relationships may be driven by the following motivations: • Customer acquisition • Customer retention • Boosting sales (upselling) What type of relationship does each of our Customer Segments expect us to establish and maintain with them? Which ones have we established? How costly are they? How are they integrated with the rest of our business model? Dedicated personal assistance, communities, Personal assistance, self service, automated services, co-creation	Sales Associate (3) Help Desk Operator (4) Web Survey Expert (3) Customer Relations Specialist (3)
5) Key Activities The Key Activities Building Block describes	Product/Service Designer (4) Product/Service Manufacturer (4)

the most important things a company must do to make its business model work Every business model calls for a number of Key Activities. These are the most important actions a company must take to operate successfully. Like Key Resources, they are required to create and offer a Value Proposition, reach markets, maintain Customer Relationships, and earn revenues. And like Key Resources, Key Activities differ depending on business model type. For software maker Microsoft, Key Activities include software development. For PC manufacturer Dell, Key Activities include supply chain management. For consultancy McKinsey, Key Activities include problem solving What Key Activities do our Value Propositions require? Our Distribution Channels? Customer Relationships? Revenue streams? Production: designing, making, delivering a product Problem solving: Platform/network: software and platform manager	Product/Service Distributor (4)
6) Key Resources The Key Resources Building Block describes the most important assets required to make a business model work Every business model requires Key Resources. These resources allow an enterprise to create and offer a Value Proposition, reach markets, maintain relationships with Customer Segments, and earn revenues. Different Key Resources are needed depending on the type of business model. A microchip manufacturer requires capital-intensive production facilities, whereas a microchip designer focuses more on human resources. Key resources can be physical, financial, intellectual, or human. Key resources can be owned or leased by the company or acquired from key partners What Key Resources do our Value Propositions require? Our Distribution Channels? Customer Relationships? Revenue Streams?	Rental Equipment Supplier City (Water/Gas/Elect.) Utility Manager Property Landlord (2) Wholesale Supplier (2)
7) Key Partnerships The Key Partnerships Building Block describes the network of suppliers and partners that make the business model work Companies forge partnerships for many reasons, and partnerships are becoming a cornerstone of many business models. Companies create alliances to optimize their business models, reduce risk, or acquire resources.	UPS Delivery Manager Product/Service Supplier (3) Mayor City Planner Chief of Police

We can distinguish between four different types of partnerships: • Strategic alliances between non-competitors • Coopetition: strategic partnerships between competitors • Joint ventures to develop new businesses • Buyer-supplier relationships to assure reliable supplies Who are our Key Partners? Who are our key suppliers? Which Key Resources are we acquiring from partners? Which Key Activities do partners perform? Reduction of risk and uncertainty, key resources and activities, shared resources	
8) Revenue Streams The Revenue Streams Building Block represents the cash a company generates from each Customer Segment (costs must be subtracted from revenues to create earnings) If customers comprise the heart of a business model, Revenue Streams are its arteries. A company must ask itself, For what value is each Customer Segment truly willing to pay? Successfully answering that question allows the firm to generate one or more Revenue Streams from each Customer Segment. Each Revenue Stream may have different pricing mechanisms, such as fixed list prices, bargaining, auctioning, market dependent, volume dependent, or yield management. A business model can involve two different types of Revenue Streams: • Transaction revenues resulting from one-time customer payments • Recurring revenues resulting from ongoing payments to either deliver a Value Proposition to customers or provide post-purchase customer support For what value are our customers really willing to pay? For what do they currently pay? How are they currently paying? How would they prefer to pay? How much does each Revenue Stream contribute to overall revenues? Asset sale, usage fee, subscription fees, lending, renting, leasing, licensing Brokerage fees, advertising	Market Forecaster (3) Sales Analyst (3) Accountant (4)
9) Cost Structure The Cost Structure describes all costs incurred to operate a business model	Bank Loan Officer (2) Venture Capitalist (3)

This building block describes the most important costs incurred while operating under a particular business model. Creating and delivering value, maintaining Customer Relationships, and generating revenue all incur costs. Such costs can be calculated relatively easily after defining Key Resources, Key Activities, and Key Partnerships. Some business models, though, are more cost-driven than others. So-called “no frills” airlines, for instance, have built business models entirely around low Cost Structures.

What are the most important costs inherent in our business model? Which Key Resources are most expensive? Which Key Activities are most expensive?

BMC Theater

<http://businessmodelalchemist.com/blog/2013/01/the-business-model-theater-can-you-put-on-a-show.html>

http://www.businessmodelgeneration.com/downloads/businessmodelgeneration_preview.pdf